Type MS · Finding equity and profit when records are incomplete

Answer 1 of 6 · Question 2 part a · 3 marks

2023 NOV · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

Number		
2(a)	**Award marks as indicated for calculation.** $144 605 **(3) W** **W** $171 105 **(1)** – 26 500 **(1)** = $144 605 **(1of)**	**(3)**

Type MS · Finding equity and profit when records are incomplete

Answer 1 of 6 · Question 2 part a · 3 marks

2023 NOV · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	**(17)**

Ed
Statement of financial position at 30 April 2023

Assets	**$**	**$**
Non-current assets		
Fixtures and fittings		178 175 **(1)**
Current assets		
Inventory		17 600 **(1)**
Trade receivables	85 500 **(1of)**	
Allowance for irrecoverable debts	(1 710) **(1)**	83 790**(1)**
		101 390
Total assets		279 565**(1of)**
Equity and liabilities		
Equity		
At 1 May 2022	144 605 **(1of)**	
Profit for the year **W1**	42 960 **(2)**	
Drawings	(6 090) **(1)**	
Total equity		181 475**(1of)**
Non-current liabilities		
Bank loan		75 000 **(1)**
Current liabilities		
Trade payables	18 540 **(1)**	
Other payables	1 900 **(1)**	
Bank overdraft	2 650 **(1)**	23 090
Total liabilities		98 090 **(1)**
Total equity and liabilities		279 565**(1of)**

W1 45 670 **(1)** – 2 710 **(1)** = $42 960

Type MS · Finding equity and profit when records are incomplete

Answer 1 of 6 · Question 2 part a · 3 marks

2023 NOV · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award (1) mark for identification of a disadvantage and a further (1) mark for development of the response. A further (1) mark to be awarded for any appropriate conclusion. (Max 5)** **Sample answer** The cost **(1)** of the hardware and software may require a fresh injection of capital **(1). (**Candidates may also refer to the cost of training staff or the cost of making staff redundant.) There is a risk **(1)** that data may be lost or corrupted due to computer viruses **(1).** Therefore Ed's business may not benefit from this investment. **(1)** **Accept any other appropriate responses**	**(5)**
Additional Guidance for Markers Where a candidate only provides a list award Max **(2)**		

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Finding equity and profit when records are incomplete

Answer 2 of 6 · Question 1 part a · 3 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part a in this mark scheme extract

1(a)	**Award marks as indicated.** $68 400 **(3) W** **W** $109 100 **(1)**-$40 700 **(1)** = $68 400 **(1of)**	**(3)**

Question number	Answer	Mark
1(b)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(6)**

Mia
Income statement for the year ended 31 December 2019

	$	$	
Revenue		210 000	**(1)**
Cost of sales			
Opening inventory	20 000		
Purchases	155 000		**(1)**
Goods for own use	(3 000)		**(1)**
Closing inventory	(25 000)		
		(147 000)	**(1)**
Gross profit		63 000	**(1of)**

Question number	Answer	Mark
1(c)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(5)**

Mia
Statement of financial Position at 31 December 2019

	$	
Equity		
Equity at 1 January	68 400	
Additional equity	10 000	**(1)**
Profit for the year	21 000	**(1)**
Drawings	(18 150)	**(1)**
Total equity	81 250	**(1of)**

Type MS · Finding equity and profit when records are incomplete

Answer 2 of 6 · Question 1 part a · 3 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part a in this mark scheme extract

Question number	Answer	Mark
1(d)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Physical deterioration/ wear and tear/usage/rust/erosion/rot and decay **(1)** Economic reasons/obsolescence **(1)** Passage of time/time factor **(1)** Depletion **(1)**	**(2)**

Question number	Answer	Mark
1(e)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Accruals **(1)** Prudence **(1)** Consistency **(1)**	**(2)**

Question number	Answer	Mark
1(f) (i)	**Award 1 mark for each correct answer.**	**(2)**

Ratio	Formula
current (working capital)	Current assets / Current liabilities **(1)**
liquid (acid test)	Current assets – inventory / Current liabilities **(1)**

Question number	Answer	Mark
1(f) (ii)	**Award 1 mark for a general statement regarding the change in liquidity over the year. Further 3 marks for discussion on both ratios and the final 1 mark for a conclusion.** **Sample answer:** The liquidity of the business has declined **(1)** over the year which is evidenced by the reduction in both ratios. The current ratio indicates that the business can pay its short-term debts **(1).** However, the acid test ratio indicates that the business will struggle to pay its short-term debts from its liquid assets **(1)** which is due to the business holding too much inventory **(1)**. In order to improve liquidity, the business needs to convert inventory into cash quicker to improve the bank balance **(1)**.	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Finding equity and profit when records are incomplete

Answer 3 of 6 · Question 2 part a · 4 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

2(a) **Award marks as indicated.**

Amira
Statement of affairs at 1 April 2020

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	40 000	19 520	20 480
	71 670	19 520	52 150 **(1)**
Current assets			
Inventory		21 500	
Trade receivables		34 500	
Other receivables		1 500	
Cash at bank		1 350	
			58 850
Total assets			111 000 **(1)**
Equity and liabilities			
Total equity			79 000 **(1of)**
Current liabilities			
Trade payables			32 000 **(1)**
Total equity and liabilities			111 000

(4)

Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Finding equity and profit when records are incomplete

Answer 3 of 6 · Question 2 part a · 4 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark

2(b) **Award marks as indicated.**

Amira
Statement of Affairs at 31 March 2021

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	50 000	10 000 **(1)**	40 000 **(1of)**
	81 670	10 000	71 670 **(1of)**
Current assets			
Inventory		24 000	
Trade receivables	35 000 **(1)**		
Provision for irrecoverable debts	(1 750) **(1of)**	33 250	
			57 250 **(1of)**
Total assets			128 920
Equity and liabilities			
Total equity			56 270 **(1of)**
Non-current liabilities			
Loan			30 000 **(1)**
Current liabilities			
Loan			10 000 **(1)**
Trade payables			31 000
Bank overdraft			1 650 **(1)**
			42 650
Total liabilities			72 650
Total equity and liabilities			128 920 **(1of)**

(11)

Additional Guidance of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Finding equity and profit when records are incomplete

Answer 3 of 6 · Question 2 part a · 4 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award 1 mark for each correct figure plus 1 mark for all correct dates (any format) and details.**	**(5)**

Equity Account

Date	Details	$	Date	Details	$
31 March	Drawings	30 000 **(1)**	1 April	Balance b/d	79 000 **(1of)**
	Balance c/d	56 270	31 March	Income statement/ profit for the year	7 270 **(1of)**
		86 270			86 270
			1 April	Balance b/d	56 270 **(1of)**

Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Accept split figures for drawings.

Type MS · Finding equity and profit when records are incomplete

Answer 3 of 6 · Question 2 part a · 4 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(d)(i)	**Award 1 mark for identifying the concept plus 1 mark for development.** **Sample answers** **Prudence (1)** Introducing a provision for irrecoverable debts, ensures that her profit for the year/trade receivable are not overstated **(1)**. **OR** **Accruals/matching (1)** Introducing a provision for irrecoverable debts, ensures that the amount of sales which are unlikely to be paid are regarded as an expense in a year of sale **(1)**.	**(2)**

Type MS · Finding equity and profit when records are incomplete

Answer 3 of 6 · Question 2 part a · 4 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(d)(ii)	**Award 1 mark for identifying the concept plus up to 2 marks for development.** **Sample answers** **Accruals/matching (1)** This method is used for motor vehicle that have lower maintenance cost / greater benefits achieved in the earlier years **(1)** which ensures that the revenue of the accounting period is matched against the cost of the same period **(1)**. **OR** **Consistency (1)** Once a method has been selected it must be used consistently from one accounting period to the next **(1)** to ensure comparability of financial results **(1)**.	**(3)**

(Total for Question 2 = 25 marks)

Type MS · Finding equity and profit when records are incomplete

Answer 4 of 6 · Question 2 part b · 11 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

2(a) **Award marks as indicated.**

Amira
Statement of affairs at 1 April 2020

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	40 000	19 520	20 480
	71 670	19 520	52 150 **(1)**
Current assets			
Inventory		21 500	
Trade receivables		34 500	
Other receivables		1 500	
Cash at bank		1 350	
			58 850
Total assets			111 000 **(1)**
Equity and liabilities			
Total equity			79 000 **(1of)**
Current liabilities			
Trade payables			32 000 **(1)**
Total equity and liabilities			111 000

(4)

Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Finding equity and profit when records are incomplete

Answer 4 of 6 · Question 2 part b · 11 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	(11)

Amira
Statement of Affairs at 31 March 2021

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	50 000	10 000 **(1)**	40 000 **(1of)**
	81 670	10 000	71 670 **(1of)**
Current assets			
Inventory		24 000	
Trade receivables	35 000 **(1)**		
Provision for irrecoverable debts	(1 750) **(1of)**	33 250	
			57 250 **(1of)**
Total assets			128 920
Equity and liabilities			
Total equity			56 270 **(1of)**
Non-current liabilities			
Loan			30 000 **(1)**
Current liabilities			
Loan			10 000 **(1)**
Trade payables			31 000
Bank overdraft			1 650 **(1)**
			42 650
Total liabilities			72 650
Total equity and liabilities			128 920 **(1of)**

Additional Guidance of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Finding equity and profit when records are incomplete

Answer 4 of 6 · Question 2 part b · 11 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award 1 mark for each correct figure plus 1 mark for all correct dates (any format) and details.

Equity Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>31 March</td><td>Drawings</td><td>30 000 (1)</td><td>1 April</td><td>Balance b/d</td><td>79 000 (1of)</td></tr>
<tr><td></td><td>Balance c/d</td><td>56 270</td><td>31 March</td><td>Income statement/ profit for the year</td><td>7 270 (1of)</td></tr>
<tr><td></td><td></td><td>86 270</td><td></td><td></td><td>86 270</td></tr>
<tr><td></td><td></td><td></td><td>1 April</td><td>Balance b/d</td><td>56 270 (1of)</td></tr>
</table></td><td>(5)</td></tr>
<tr><td colspan="3">Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Accept split figures for drawings.</td></tr>
</table>

Type MS · Finding equity and profit when records are incomplete

Answer 4 of 6 · Question 2 part b · 11 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(d)(i)	**Award 1 mark for identifying the concept plus 1 mark for development.** **Sample answers** **Prudence (1)** Introducing a provision for irrecoverable debts, ensures that her profit for the year/trade receivable are not overstated **(1)**. **OR** **Accruals/matching (1)** Introducing a provision for irrecoverable debts, ensures that the amount of sales which are unlikely to be paid are regarded as an expense in a year of sale **(1)**.	**(2)**

Type MS · Finding equity and profit when records are incomplete

Answer 4 of 6 · Question 2 part b · 11 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(d)(ii)	**Award 1 mark for identifying the concept plus up to 2 marks for development.** **Sample answers** **Accruals/matching (1)** This method is used for motor vehicle that have lower maintenance cost / greater benefits achieved in the earlier years **(1)** which ensures that the revenue of the accounting period is matched against the cost of the same period **(1)**. **OR** **Consistency (1)** Once a method has been selected it must be used consistently from one accounting period to the next **(1)** to ensure comparability of financial results **(1)**.	**(3)**

(Total for Question 2 = 25 marks)

Type MS · Finding equity and profit when records are incomplete

Answer 5 of 6 · Question 2 part a.i · 1 mark

2024 JUN · Paper 02 · extract 1 of 2 · find part a.i in this mark scheme extract

Number		
2(a)(i)	**Award mark as indicated** $12 000 **(1)**	**(1)**

Question Number	Answer	Mark
2(a)(ii)	**Award marks as indicated.**	**(15)**

Thelma
Statement of Financial Position at 31 December 2023

	$	$
Assets		
Non-current assets		
Motor vehicles		17 600**(1)**
Current assets		
Inventory	14 568	
Trade receivables	2 167	
Other receivables	200**(1)**	
Cash in hand	890	
		17 825**(1)**
Total assets		35 425**(1of)**
Equity and liabilities		
Equity		
At 1 January 2023	12 000**(1of)**	
Additional capital	10 000 **(1)**	
Profit for the year	5 135 **(1)**	
Drawings	(4 800) **(1)**	
Total equity		22 335 **(1of)**
Non-current liabilities		
Bank loan (2028)		5 000**(1)**
Current liabilities		
Bank loan (2024)	3 000**(1)**	
Bank overdraft	2 198**(1)**	
Trade payables	2 325	
Other payables	567**(1)**	
		8 090**(1)**
Total liabilities		13 090
Total equity and liabilities		35 425**(1of)**

Type MS · Finding equity and profit when records are incomplete

Answer 5 of 6 · Question 2 part a.i · 1 mark

2024 JUN · Paper 02 · extract 2 of 2 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award 1 mark for identification and 1 for development for each reason.** **Sample answer** A business should maintain full accounting records to prepare financial statements more frequently **(1)** as the information required will be readily available **(1)** It will help the business owners to improve their decision making **(1)** as the financial information will be more accurate and up to date **(1)** **Accept any other appropriate responses**	**(4)**

Question Number	Answer	Mark
2(c)	**Award up to 2 marks for a discussion on the meaning of each individual ratio.** **Up to 2 marks for the implication for their credit suppliers.** **Award 1 mark for a conclusion**. **Sample answer** The current ratio indicates that they are just able to cover their short-term debts **(1)** whereas their quick ratio indicates that they are below the ideal ratio of 1:1. **(1)** The implication of this for a credit supplier is that the business may experience some difficulty in meeting its short-term debts **(1).** This will have a negative effect on the supplier who may stop supplying goods to the supplier until debts are paid. **(1)** The liquidity of the business has worsened over the two years **(1)** which is evidenced by the reduction in both ratios. **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Finding equity and profit when records are incomplete

Answer 6 of 6 · Question 2 part c · 5 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

2(a) **Award marks as indicated.**

Amira
Statement of affairs at 1 April 2020

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	40 000	19 520	20 480
	71 670	19 520	52 150 **(1)**
Current assets			
Inventory		21 500	
Trade receivables		34 500	
Other receivables		1 500	
Cash at bank		1 350	
			58 850
Total assets			111 000 **(1)**
Equity and liabilities			
Total equity			79 000 **(1of)**
Current liabilities			
Trade payables			32 000 **(1)**
Total equity and liabilities			111 000

(4)

Additional Guidance

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Finding equity and profit when records are incomplete

Answer 6 of 6 · Question 2 part c · 5 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	(11)

Amira
Statement of Affairs at 31 March 2021

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Land	31 670	-	31 670
Motor vehicle	50 000	10 000 **(1)**	40 000 **(1of)**
	81 670	10 000	71 670 **(1of)**
Current assets			
Inventory		24 000	
Trade receivables	35 000 **(1)**		
Provision for irrecoverable debts	(1 750) **(1of)**	33 250	
			57 250 **(1of)**
Total assets			128 920
Equity and liabilities			
Total equity			56 270 **(1of)**
Non-current liabilities			
Loan			30 000 **(1)**
Current liabilities			
Loan			10 000 **(1)**
Trade payables			31 000
Bank overdraft			1 650 **(1)**
			42 650
Total liabilities			72 650
Total equity and liabilities			128 920 **(1of)**

Additional Guidance of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Finding equity and profit when records are incomplete

Answer 6 of 6 · Question 2 part c · 5 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

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Equity Account
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Type MS · Finding equity and profit when records are incomplete

Answer 6 of 6 · Question 2 part c · 5 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(d)(i)	**Award 1 mark for identifying the concept plus 1 mark for development.** **Sample answers** **Prudence (1)** Introducing a provision for irrecoverable debts, ensures that her profit for the year/trade receivable are not overstated **(1)**. **OR** **Accruals/matching (1)** Introducing a provision for irrecoverable debts, ensures that the amount of sales which are unlikely to be paid are regarded as an expense in a year of sale **(1)**.	**(2)**

Type MS · Finding equity and profit when records are incomplete

Answer 6 of 6 · Question 2 part c · 5 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(d)(ii)	**Award 1 mark for identifying the concept plus up to 2 marks for development.** **Sample answers** **Accruals/matching (1)** This method is used for motor vehicle that have lower maintenance cost / greater benefits achieved in the earlier years **(1)** which ensures that the revenue of the accounting period is matched against the cost of the same period **(1)**. **OR** **Consistency (1)** Once a method has been selected it must be used consistently from one accounting period to the next **(1)** to ensure comparability of financial results **(1)**.	**(3)**

(Total for Question 2 = 25 marks)